

Survivorship Bias In Frames and On Wheels

WHAT HAPPENS WHEN we ignore failures, and only consider the big winners? It distorts our sense of how challenging it is to identify where to put our capital today, before we know what asset classes are going to be the biggest winners and losers over the next few decades. Failing to understand that makes us susceptible to sexy pitches for our money.

It's not just mutual funds: There are sexy pitches for collectibles markets, from art to cars to toys.

To make a fortune, all you need is an eye for important, beautiful works, some capital—and a time machine. Go back a few decades and buy the Monets and Ferraris that have appreciated the most. But knowing what will bring huge prices in the future in these markets is very, very hard.^{[142](#)}

In 2019, one of Claude Monet's haystacks paintings, "Meules" (1890), was auctioned at Sotheby's for \$110.7 million. It was a record sum for a work by an impressionist. That price, including auctioneer fees, was 44 times more than the \$2.5 million the painting fetched when last sold at auction in 1986.^{[143](#)} This works out to an annual rate of return of 12.2% over 33 years.

The estate of former Condé Nast chairman S.I. Newhouse Jr. auctioned off Jeff Koons's stainless-steel "Rabbit" at Christie's in New York in 2019. At \$91 million, it set a record for a sale of a sculpture by a living artist.^{[144](#)} Newhouse bought the sculpture in 1992 for \$1 million. At 91 times more than the sculpture cost 27 years ago, the annual rate of return was 18.2%.^{[145](#)}

Giant winners, to be sure, but what about the millions of other works of art that fail to appreciate in value? Think about millions of originals hanging in homes from La Jolla to East Hampton to London. The vast majority of these "investments" have returns that are nothing like Monet or Koons. Many—indeed, most—lose value.